IN THE NATIONAL COMPANY LAW TRIBUNAL
DIVISION BENCH (COURT– I) CHENNAI

ATTENDANCE CUM ORDER SHEET OF THE HEARING
HELD ON **05.06.2025** THROUGH VIDEO CONFERENCE

PRESENT: HON'BLE SHRI. SANJIV JAIN, MEMBER (JUDICIAL)
HON'BLE SHRI VENKATARAMAN SUBRAMANIAM, MEMBER (TECHNICAL)

Application No	:	
Petition No	:	CA(CAA)/35(CHE)/2025
Name of Petitioner & Name of Respondent	:	Sundaram Industries Pvt Ltd & 2 Ors
Section	:	230-232 of CA, 2013

ORDER

CA(CAA)/35(CHE)/2025

Present: Ms. Niveditha, Ld. Counsel for Applicant.

Vide separate Order pronounced in Open Court, the Application is **allowed**. Meetings are dispensed with.

-sd-
[VENKATARAMAN SUBRAMANIAM]
MEMBER (TECHNICAL)

-sd-
[SANJIV JAIN]
MEMBER (JUDICIAL)

MS

Date: 05.06.2025

IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - I, CHENNAI

CA(CAA)/35(CHE)/2025

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of Scheme of Amalgamation and Arrangement between

SUNDARAM INDUSTRIES PRIVATE LIMITED
No.10, Jawahar Road, Chokkikulam,
Madurai, Tamil Nadu, India, 625002
CIN: U51901TN2018PTC121156

… 1st Applicant / Demerged Company-1

SRI ATHREYA AUTOMOTIVES PRIVATE LIMITED
No.10, Jawahar Road, Chokkikulam,
Madurai, Tamil Nadu, India, 625002
CIN: U25209TN2022PTC157029

….2nd Applicant/ Resulting/ Transferee Company-2

SHORE AUTO RUBBER EXPORTS PRIVATE LIMITED
No.10, Jawahar Road, Chokkikulam,
Madurai, Tamil Nadu, India, 625002
CIN: U25199TN2003PTC164114

…. 3rd Applicant/ Transferor Company

Order Pronounced on ***05th June, 2025***

CORAM

SANJIV JAIN, MEMBER (JUDICIAL)
VENKATARAMAN SUBRAMANIAM, MEMBER (TECHNICAL)

For Applicant(s): Mr.T.K. Bhaskar, K. Harishankar, Niranjan S. Rao and Shakthivelan Manisekaran, Advocates

O R D E R

1. This is a Joint Company Application Viz., CA(CAA)/35(CHE)/2025 filed by the Applicant Companies, namely **Sundaram Industries Private Limited** (for

brevity "Demerged Company/Applicant Company-1") and **Sri Athreya Automotives Private limited** (for brevity "Resulting/Transferee Company/ Applicant Company-2") and **Shore Auto Rubber Exports Private Limited** (for brevity "Transferor Company/Applicant Company-3")) and its Shareholders under section 230-232 of Companies Act, 2013, and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the Scheme of Amalgamation and Arrangement (hereinafter referred to as the "SCHEME") proposed by the Applicant Companies herein with its Shareholders. The Scheme is placed at **Page No. 1227-1295** of the Application Typeset.

2. The Applicant Companies in this Company Application have sought for the following reliefs;

	EQUITY SHAREHOLDERS	PREFERENCE SHAREHOLDERS	SECURED CREDITORS	UNSECURED CREDITORS
DEMERGED COMPANY	To Dispense with the meeting	To Dispense with the meeting	To Dispense with the meeting	To Dispense with the meeting
RESULTING/ TRANSFEREE COMPANY	To Dispense with the meeting	To Dispense with the meeting	To Dispense with the meeting	To Dispense with the meeting
TRANSFEROR COMPANY	To Dispense with the meeting	To Dispense with the meeting	To Dispense with the meeting	To Dispense with the meeting

3. The **RATIONALE OF THE SCHEME** is as under:

Rationale for the Step -I: Demerger

A. The Demerger, transfer and vesting of the Demerged Undertaking will result in increased customer attention for the rubber business by the Resulting Company

and will enable the Resulting Company to focus on the Demerged Undertaking as its core activities thereby resulting in better strategic, operational and administrative efficiency.

B. The Demerger, transfer and vesting of the Demerged Undertaking will enable the Resulting Company to raise funds required for the operations of the Demerged Undertaking. This will ensure better funding of operations of the Demerged Undertaking which in turn will facilitate growth and expansion of operations. This will also ensure timely re-payment to secured creditors, if any, and unsecured creditors.

C. The Demerger, transfer and vesting of the Demerged Undertaking to the Resulting Company will help in the creation of a platform for future business activities, and to act as a gateway for growth and expanding business operations. There is no likelihood that the interests of any shareholder or creditor of either the Demerged Company or the Resulting Company would be prejudiced as a result of the Scheme. The Demerger, transfer and vesting of the Demerged Undertaking will not impose any additional burden on the members of the Demerged Company or the Resulting Company. The Scheme is not in any manner prejudicial or against public interest and would serve the interest of all shareholders, creditors and stakeholders.

Rationale for the Step -II: Amalgamation

A. The amalgamation of the Transferor Company with the Transferee Company will help in consolidation of rubber business and creation of a platform for future business activities, and to act as a gateway for growth and expanding business operations wherein the resources of the Transferor Company can be advantageously combined with the resources of the Transferee Company.

B. The consolidation of the business operations, undertakings, assets, liabilities etc. of the Transferor Company in a single entity, i.e. under the Transferee Company, and under a single centralized system of management, will result in the management being able to exercise greater control over the operations of the Companies. This will also result in the management being enabled to undertake any re-structuring/reorganisation of the various business undertakings of the Companies for the purposes of achieving optimum efficiency and/or to attract investments in the individual business undertakings of the Companies.

C. The amalgamation will facilitate reduction in administrative costs and garner visibility in the market.

D. The amalgamation will also enable smoother implementation of policy changes from a management perspective and shall also help enhance the efficiency and control of the entities.

E. There is no likelihood that the interests of any shareholder or creditor of either the Transferor Company or the Transferee Company would be prejudiced as a result of the Scheme. The Amalgamation will not impose any additional burden on the members of Transferor Company or the Transferee Company.

4. It is stated that (i) Applicant Company-1 viz., **Sundaram Industries Private Limited** is a Private Limited Company and was incorporated on 05.03.2018 with CIN: U51901TN2018PTC121156 in the State of Tamil Nadu. The Authorised/Issued/Subscribed and Paid up share capital of the Applicant Company-1 as on 30.09.2024 are as follows

Particulars	**Rupees**
Authorised share capital	
1,00,000 Equity Shares of Rs.10/- each	10,00,000/-
1,812 Optionally Convertible Preference Shares of Rs.10/- each	18,120/-
Total	10,18,120/-
Issued, subscribed and Paid up share capital	
31,730 Equity shares of Rs.10/-each fully paid-up	3,17,300/-
1,812 Optionally Convertible Preference Shares of Rs.10/- each	18,120/-
Total	**3,35,420/-**

(ii) Applicant Company-2 viz., **Sri Athreya Automotives Private Limited** is a Private Limited Company and was incorporated on 01.12.2022, in the State of

Tamil Nadu with CIN: U25209TN2022PTC157029. The Authorised and paid-up share capital of the Transferor Company-2 as on 30.09.2024 are as follows

Particulars	**Rupees**
Authorised share capital	
1,50,000 Equity Shares of Rs.10/- each 2,98,50,000 Redeemable Preference Shares of Rs.10/- each	15,00,000/- 29,85,00,000/-
Total	30,00,00,000/-
Issued, subscribed and paid-up share capital	
2,700 Equity shares of Rs.10/-each fully paid up 2,27,20,000 Redeemable Preference Shares of Rs.10/- each	27,000/- 22,72,00,000/-
Total	**22,72,27,000/-**

(iii) Applicant Company- 3 viz., **Shore Auto Rubber Exports Private Limited** is a Private Limited Company incorporated under the Companies Act, 1956 on 13.11.2003 in the State of Tamil Nadu with CIN: U25199TN2003PTC164114. The Authorised and paid-up share capital of the Resulting Company as on 30.09.2024 are as follows

Particulars	**Rupees**
Authorised share capital	
2,20,000 Equity Shares of Rs.100/- each 12,20,000 Optionally convertible Redeemable Preference Shares of Rs.100/-	2,20,00,000/- 12,20,00,000/-
Total	14,40,00,000/-
Issued, subscribed and paid-up share capital	
78,400 Equity shares of Rs.100/-each fully paid up 52,267 Optionally Convertible Redeemable Preference Shares of Rs.100/- each	78,40,000/- 52,26,700/-

Total	**1,30,66,700/-**

5. It is stated that this Application has been filed in relation to a Scheme of Amalgamation and Arrangement between Sundaram Industries Private Limited (Applicant Company-1), Sri Athreya Automotives Private Limited (Applicant Company-2), and Shore Auto Rubber Exports Private Limited (Applicant Company-3) along with their respective shareholders and creditors.

6. Affidavits in support of the above application sworn in, on behalf of the Applicant Company-1 have been effected by Mr. P. Sundararajan in the capacity of Director, on behalf of the Applicant Company-2 by Mr. S Venkatanarayanan in the capacity of Director and on behalf of the Applicant Company-3 by Mr. B Narayanan in the capacity of Director. The same are placed along with the Application at **Pg.31-39** of the typeset. It is also represented that the registered office of the Applicant Companies is situated in the State of Tamil Nadu and therefore it is within the jurisdiction of this Tribunal.

7. We have perused the application and the connected documents/papers filed therewith including the Scheme contemplated by the Applicant companies.

8. The Applicant Companies have filed their Memorandum and Articles of Association *inter alia* delineating their object clauses at **Page Nos. 49-76, 815-834, 915-952**. The Applicant Companies have submitted their last available Audited Financial Statements for the year ended on 31.03.2024 at **Page nos. 77-165, 835-866, 953-1024** and their Provisional Financial Statements at **Page Nos. 166-180, 867-871**

1025-1053 for the year ended on 30.09.2024 of the typed set filed with the application.

9. The Board of Directors of the Applicant Companies vide meeting held on **08.11.2024, 25.11.2024, 26.11.2024** respectively have unanimously approved the proposed Scheme as contemplated above (The copies of resolutions passed thereon have been placed on record by the applicant companies at **Page Nos. 181-182, 872-874, 1054-1055**).

10. The Appointed date as specified in the Scheme is **01.04.2024**.

11. The Statutory Auditors of the Applicant Companies have examined the Scheme in terms of provisions of Sec. 232 of Companies Act, 2013 and the Rules made thereunder and certified that the Accounting Standards are in compliance with Section 133 of the Companies Act, 2013. The Certificates of the Statutory Auditors in this regard are placed at **Page Nos. 812-814, 902-908, 1212-1215** of the Applicant Companies typed set of Documents filed along with the application.

12. Taking into consideration the application filed by the Applicant Companies and the documents filed therewith as well as the position of law, this Tribunal issues the following directions: -

A. SUNDARAM INDUSTRIES PRIVATE LIMITED (DEMERGED COMPANY-1 /1ST APPLICANT)

I. EQUITY SHAREHOLDERS

(i) There are **2 (Two)** Equity Shareholders, whose consent affidavits are placed at **Pgs. 185-195**. The Certificate issued by the Chartered Accountant

certifying the list of Equity Shareholders is placed at **Pg. 183-184** of the typed set filed with the application. It has sought dispensation with holding of meeting.

(ii) Since it is represented by the Applicant Company - 1 that there are **2 (Two)** Equity Shareholders in the Company whose consents by way of Affidavits have been obtained and are placed on record, the necessity of convening, holding and conducting the meeting is ***dispensed with.***

II. **PREFERENCE SHAREHOLDERS**

(i) There is **1 (One)** Optionally Convertible Preference Shareholder, whose consent affidavit is placed at **Pgs. 196-201**. The Certificate issued by the Chartered Accountant certifying the list of Optionally Convertible Preference Shareholder is placed at **Pg. 183-184** of the typed set filed with the application. It has sought dispensation with holding of meeting.

(ii) Since it is represented by the Applicant Company - 1 that there is **1 (One)** Optionally Convertible Preference Shareholder in the Company whose consent by way of Affidavit has been obtained and is placed on record, the necessity of convening, holding and conducting the meeting is ***dispensed with.***

III. **SECURED CREDITORS**

(i) There are **Three (3)** Secured Creditors**,** whose consent affidavits are placed at **Pgs.204-235**. The Certificate issued by the Chartered Accountant certifying the list of Secured Creditors is placed at **Pgs.202-203** of the typed set filed with the application. It has sought dispensation with holding of meeting.

(ii) Since it is represented by the Applicant Company - 1 that there are **Three (3)** Secured Creditors in the Company whose consent by way of Affidavit have been obtained and are placed on record, the necessity of convening, holding and conducting the meeting is ***dispensed with.***

IV. UNSECURED CREDITORS

(i) There are **1344 (One Thousand Three Hundred and Forty-Four)** Unsecured Creditors in the Applicant Company - 1. The Certificate issued by the Chartered Accountant certifying the list of Unsecured Creditors is placed as **Annexure A 13** at **Pg.220-222.** The consent given by the way of Affidavits by **77** Unsecured Creditors is placed at **Pg.271-811** of the typed set filed with the application. Subsequently, the Applicant Company - 1 filed an additional **52 consent affidavits** of the Unsecured creditors through **IA(CA)/104/2025**, thereby bringing the total number of consenting Unsecured Creditors to **129 (77 + 52)**, which constitutes **92.78%** of the total. Accordingly, the Applicant Company - 1 has sought dispensation with holding of meeting.

(ii) Since it is represented by the Applicant Company - 1 that there are **1344 (One Thousand Three Hundred and Forty-Four)** Unsecured Creditors in the Company whose consents by way of Affidavits forming 92.78% value have been obtained and are placed on record, the necessity of convening, holding and conducting the meeting is ***dispensed with.***

B. SRI ATHREYA AUTOMOTIVES PRIVATE LIMITED (RESULTING COMPANY / TRANSFEREE / 2ND APPLICANT)

I. EQUITY SHAREHOLDERS

(i) There are **2 (Two)** Equity Shareholders, whose consent affidavits are placed at **Pgs. 877-887**. The Certificate issued by the Chartered Accountant certifying the list of Equity Shareholders is placed at **Pg. 875-876** of the typed set filed with the application. It has sought dispensation with holding of meeting.

(ii) Since it is represented by the Applicant Company - 2 that there are **2 (Two)** Equity Shareholders in the Company whose consents by way of Affidavits have been obtained and are placed on record, the necessity of convening, holding and conducting the meeting is ***dispensed with.***

II. <u>PREFERENCE SHAREHOLDERS</u>

(i) There is **1 (One)** Redeemable Preference Shareholder, whose consent affidavit is placed at **Pgs. 196-201**. The Certificate issued by the Chartered Accountant certifying the list of Redeemable Preference Shareholder is placed at **Pg. 888-893** of the typed set filed with the application. It has sought dispensation with holding of meeting.

(ii) Since it is represented by the Applicant Company - 2 that there is **1 (One)** Optionally Convertible Preference Shareholder in the Company whose consents by way of Affidavits have been obtained and are placed on record, the necessity of convening, holding and conducting the meeting is ***dispensed with.***

III. <u>SECURED CREDITORS</u>

(i) There are **NIL** Secured Creditors in the Applicant Company - 2. The Certificate issued by the Chartered Accountant certifying the list of Secured Creditor is placed at **Pg.894** of the typed set filed with the application. Since it is represented by the Applicant Company - 2 that there are **NIL** Secured

Creditors, the necessity of convening, holding and conducting the meeting ***does not arise.***

IV. UNSECURED CREDITORS

(i) There is **1 (One)** Unsecured Creditor in the Applicant Company - 2, whose consent affidavit is placed at **Pgs. 896-901**. The Certificate issued by the Chartered Accountant certifying the list of Equity Shareholders is placed at **Pg. 895** of the typed set filed with the application. It has sought dispensation with holding of meeting.

(ii) Since it is represented by the Applicant Company - 2 that there is **1 (One)** Unsecured Creditor in the Company whose consents by way of Affidavit has been obtained and is placed on record, the necessity of convening, holding and conducting the meeting is ***dispensed with.***

C. **SHORE AUTO RUBBER EXPORTS PRIVATE LIMITED (TRANSFEROR COMPANY / 3RD APPLICANT)**

I. EQUITY SHAREHOLDERS

(i) There are **2 (Two)** Equity Shareholders in the Applicant Company – 3 whose consent affidavits are placed at **Pgs. 1058-1066**. The Certificate issued by the Chartered Accountant certifying the list of Equity Shareholders is placed at **Pg. 1056-1057** of the typed set filed with the application. It has sought dispensation with holding of meeting.

(ii) Since it is represented by the Applicant Company - 3 that there are **2 (Two)** Equity Shareholders in the Company whose consents by way of Affidavits have been obtained and are placed on record, the necessity of convening, holding and conducting the meeting is ***dispensed with.***

II. PREFERENCE SHAREHOLDERS

(i) There is **1 (One)** Optionally Convertible Redeemable Preference Shareholder Applicant Company - 3 whose consent affidavit is placed at **Pgs. 1067-1070**. The Certificate issued by the Chartered Accountant certifying the list of Optionally Convertible Redeemable Preference Shareholder is placed at **Pg. 1056-1057** of the typed set filed with the application. It has sought dispensation with holding of meeting.

(ii) Since it is represented by the Applicant Company - 3 that there is **1 (One)** Optionally Convertible Optionally Convertible Preference Shareholder in the Company whose consent by way of Affidavit has been obtained and is placed on record, the necessity of convening, holding and conducting the meeting is ***dispensed with.***

III. SECURED CREDITORS

(i) There is **One (1)** Secured Creditor Applicant Company - 3 whose consent affidavit is placed at **Pgs.1072-1089**. The Certificate issued by the Chartered Accountant certifying the list of Secured Creditor is placed at **Pgs.1071** of the typed set filed with the application. It has sought dispensation with holding of meeting.

(ii) Since it is represented by the Applicant Company- 3 that there is **One (1)** Secured Creditor in the Company whose consent by way of Affidavit has been obtained and is placed on record, the necessity of convening, holding and conducting the meeting is ***dispensed with.***

IV. UNSECURED CREDITORS

(i) There are **39 (Thirty-Nine)** Unsecured Creditors in the Applicant Company- 3. The Certificate issued by the Chartered Accountant certifying the list of Unsecured Creditors is placed at **Pg.1090-1092.** The consent given by the way of Affidavits by **16** Unsecured Creditors amounting to **97.79%** are placed at **Pg.1093-1211** of the typed set filed with the application. It has sought dispensation with holding of meeting.

(ii) Since it is represented by the Applicant Company- 3 that there are **39 (Thirty-Nine)** Unsecured Creditors in the Company whose consents by way of Affidavits forming 97.79% value have been obtained and are placed on record, the necessity of convening, holding and conducting the meeting is ***dispensed with.***

13. The Application stands **ALLOWED**. The Applicant Companies are directed to file Application for the Second Motion within a period of fourteen (14) days from the date of receipt of the Order.

-Sd-

VENKATARAMAN SUBRAMANIAN

MEMBER (TECHNICAL)

-Sd-

SANJIV JAIN

MEMBER(JUDICIAL)

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